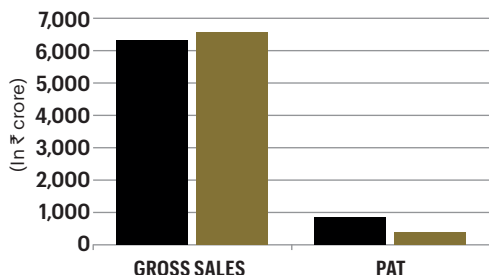


MONEY FLOWS

Piramal Pharma's sales have gone up in FY22, but profit has fallen



■ FY21 ■ FY22

FIGURES ARE ON A CONSOLIDATED BASIS
PAT IS PROFIT AFTER TAX; SOURCE ACE EQUITY

COMPETITIVE LANDSCAPE

Major competitors of Piramal Pharma in various segments

CONTRACT DEVELOPMENT AND MANUFACTURING ORGANISATION (CDMO)

INTERNATIONAL COMPANIES



- Lonza
- Catalent
- WuXi Biologics

INDIAN COMPANIES



- Divi's Laboratories
- Laurus Labs
- Gland Pharma
- Syngene International
- Jubilant Pharmova

COMPLEX HOSPITAL GENERICS



- Baxter
- AbbVie
- Hikma Pharmaceuticals
- Daiichi Sankyo

INDIAN CONSUMER HEALTHCARE



- Emami
- Bajaj Consumer Care
- Dabur

about half of them to succeed. "This will increase our number of on-patent molecules. And when it's on-patent, and just launched, volumes grow. That is the kind of sweet spot we want to be in," she says.



APART FROM FOCUSING intensely on the CDMO business, which comprised 59 per cent of its revenues in FY22, Piramal Pharma is also gearing up to make big dents in the hospital generics and consumer healthcare products businesses. Its hospital generics business was badly hit during Covid-19, when it had no sales for a few months during the first lockdown. "In hospital generics, our biggest product is anaesthesia. And during Covid-19, people were not using anaesthesia. But now, after two or three years, the world is coming back to normalcy," says Nandini.

In consumer healthcare (OTC), too—which has grown from ₹127 crore in FY11 to ₹741 crore in FY22 at a CAGR of 17 per cent—PPL is among the leading players in India with brands such as Saridon (manufacturing and distribution), Little's, Lacto Calamine, Tetmosol, etc. "We have learnt how to do the business. We have got offline distribution. We go to all the chemists in every town with a population of about 200,000. We have... set up the infrastructure for both online and modern trade," says Nandini.

With quite a bit going for it, analysts are bullish on the firm. "We remain positive on Piramal Pharma considering the growing requirement for development services, especially with complex regulatory processes for newer drugs, high entry barriers, limited competition for complex hospital generics (that provides sustainable long-term growth), and the rising contribution from the fast-growing consumer segment," says Vinay Bafna, Research Analyst at ICICI Securities.

It is early days yet for PPL, especially in the pharmaceuticals industry, where its revenues of ₹6,559 crore is a far cry from top dog Sun Pharma's consolidated revenues of ₹38,426.42 crore in FY22 (albeit their businesses are different). Nandini Piramal would need to leverage all her experience, Board expertise, product strength and M&A smarts to put Piramal Pharma on a high growth trajectory. **BT**

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